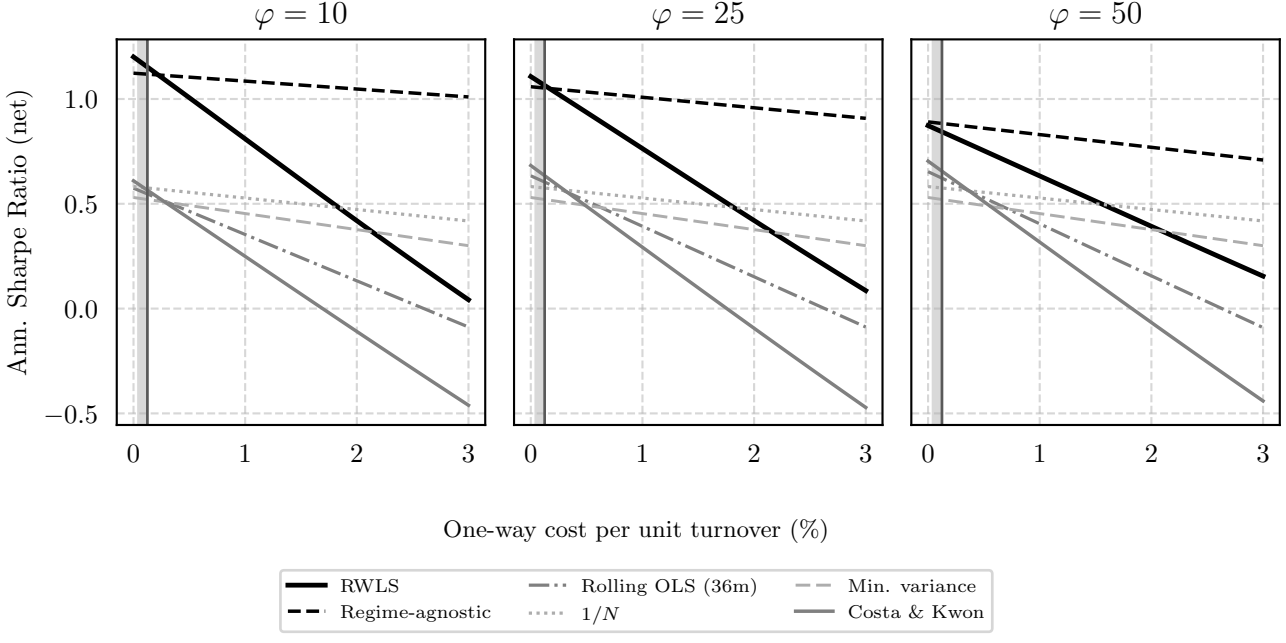

$\varphi = 10$
$\varphi = 25$
$\varphi = 50$
Ann. Sharpe Ratio (net)
1.0
0.5
0.0
−0.5
0
1
2
3
One-way cost per unit turnover (%)
RWLS
Regime-agnostic
Rolling OLS (36m)
1/N
Min. variance
Costa & Kwon